

Ocean Two Condominium — Budget Trends 2017–2026

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Summary

Over ten budgets, from 2017 to 2026, the Ocean Two budget grew from **\$4.24M to \$7.57M (+78.6%)**, an average of 6.7% a year. Owners' fees grew **+73.2%** (6.3% a year): the average fee per unit went from about **\$1,316 to \$2,280 a month**. General inflation over the same period was about 34%, so fees rose about 29% after inflation.

The decade splits into two very different halves. From 2017 to 2021 the budget grew 3.3% a year; from 2021 to 2026 it grew 9.4% a year.

1. **Two items explain almost all of the acceleration.** Insurance rose from \$622,500 to \$1,721,446 (peaking at \$2.4M in 2025), and reserve funding rose from \$448,120 to \$1,644,630. Together they account for \$2.3M of the \$3.3M increase in the budget.
2. **Day-to-day operating costs kept pace with inflation, no more.** Everything except insurance and reserves grew 32.7% in ten years against 34% inflation. But the growth is uneven: these costs were cut in 2023 and then rose 10.2% in 2026 alone.
3. **One-time money was used in 6 of the 10 years** to hold fees down, \$1.62M in total: prior-year surplus in 2017–2019, and special-assessment money in 2023, 2025 and 2026. Each time it stopped, fees jumped.
4. **Reserves were underfunded for the first half of the decade.** Until 2021 the reserve worksheet valued the building's components at \$2.2M; from 2022 it values them at \$22M. Contributions stayed near \$450,000 while about \$3.8M was spent in 2018–2020.
5. **Staffing costs grew 15% in 2017–2021 and 28% in 2021–2026**, with increases of about 13% in each of the last two budgets.

Figures are the approved annual budgets from each year's package. The 2017–2020 packages are scans, read by text recognition and checked against each package's totals; all ten years balance exactly (revenue = expenses). They are budgets, not actual spending.

Revenues over time

Owners' fees (operating assessments plus reserve income) supply 92–98% of revenue every year. The table shows the fee change that was adopted and the change that would have been needed without one-time money:

Year	Owner fees (\$)	Fee change	Without one-time money	Avg. fee per unit (\$/month)	One-time money (\$)
2017	4,011,768	—	—	1,316	140,004
2018	4,153,003	+3.5%	+7.0%	1,363	140,000
2019	4,153,003	0.0%	+3.0%	1,363	125,574

Year	Owner fees (\$)	Fee change	Without one-time money	Avg. fee per unit (\$/month)	One-time money (\$)
2020	4,645,272	+11.9%	+11.9%	1,524	0
2021	4,747,520	+2.2%	+2.2%	1,558	0
2022	5,451,245	+14.8%	+14.8%	1,788	0
2023	6,029,100	+10.6%	+17.1%	1,978	352,690
2024	6,618,506	+9.8%	+9.8%	2,171	0
2025	6,787,666	+2.6%	+8.0%	2,227	360,000
2026	6,948,103	+2.4%	+9.7%	2,280	500,000

Budgeted revenue by source



One-time money = prior-year surplus (2017–2019), SPA surplus (2023), special assessment fees (2025) and residual (2026)

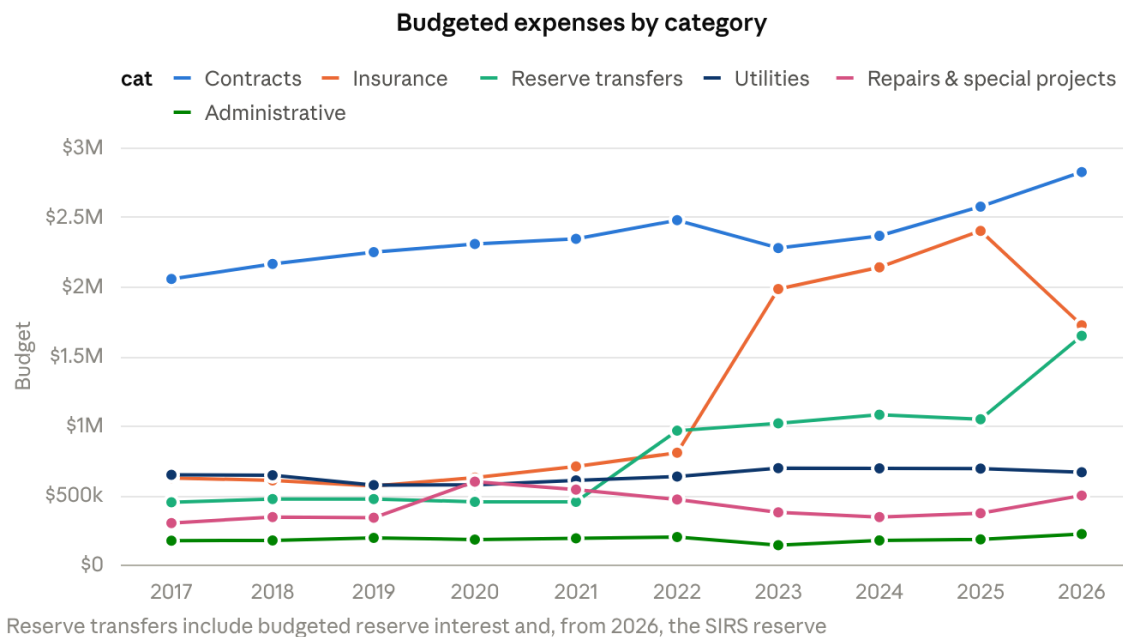
Budget packages 2017–2026, revenue section

Three patterns stand out:

- **Fee increases come in jumps, not steps.** Four years carry most of the increase: 2020 (+11.9%), 2022 (+14.8%), 2023 (+10.6%) and 2024 (+9.8%). The other years are between 0% and 3.5%.
- **The quiet years are the ones with one-time money.** Every year with an increase under 4%, except 2021, used surplus or special-assessment money. The 2026 "Special Assessment Residual" is booked in the same account (40095) that held the "Prior Years Surplus" in 2017–2019.
- **The 2022 jump was for reserves.** Reserve income more than doubled, from \$451,272 to \$962,225, when the new reserve study replaced the old worksheet.

Other income (rental, moving fees, interest and similar) stays between \$83,000 and \$165,000 a year, 1.5–2.4% of revenue.

Expenses over time



Budget packages 2017–2026, section totals

Growth is measured with the compound annual growth rate between a first year a and a last year b, where B is the category's budget:

$$\text{CAGR} = \left(\frac{B^{(b)}}{B^{(a)}} \right)^{1/(b-a)} - 1$$

Category	2017 (\$)	2021 (\$)	2026 (\$)	CAGR 2017–2021	CAGR 2021–2026	Change 2017–2026
Reserve transfers	448,120	451,272	1,644,630	0.2%	29.5%	+267%
Insurance	622,500	705,000	1,721,446	3.2%	19.5%	+177%
Repairs & special projects	297,721	539,130	496,100	16.0%	–1.6%	+67%
Contracts (staff & services)	2,054,141	2,342,831	2,823,290	3.3%	3.8%	+37%
Administrative	171,514	188,050	219,637	2.3%	3.2%	+28%
Utilities	644,400	604,420	664,200	–1.6%	1.9%	+3%
Total budget	4,238,396	4,830,703	7,569,303	3.3%	9.4%	+79%

What the table shows:

- **Insurance was 13–15% of the budget until 2022**, then jumped to 31–33% in 2023–2025 and is 23% in 2026. The single largest change in the decade is the 2023 increase, from \$803,562 to \$1,981,221.
- **Contracts, administration and utilities were steady across both halves**, growing 0.3–3.6% a year over ten years.
- **Operating costs were squeezed when insurance rose**. Everything except insurance and reserves fell from \$3.77M (2022) to \$3.48M (2023). Hospitality lines (holiday gifts, social classes, beverages) went from \$86,500 to \$7,500, and valet, pool attendants and groundskeeping were cut 24–38%. The valet and pool cuts were more than reversed by 2026.
- **Staffing** (16 staffing and service-labor lines, including bonus) grew from \$1.38M to \$2.04M. Yearly growth was 2.6–4.7% through 2021, then +7.7%, –9.0%, +2.9%, +12.8% and +12.7%.

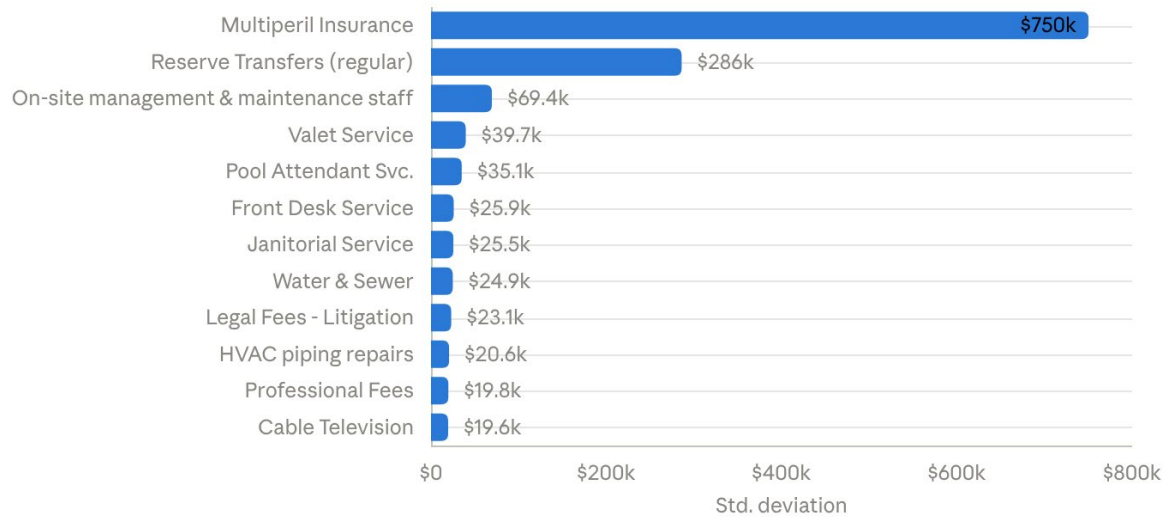
Most variable budget lines

Variability is measured two ways for each line j over the ten budgets $t = 2017, \dots, 2026$: the standard deviation s_j shows how many dollars a line moves, and the coefficient of variation CV_j shows how much it moves relative to its own size.

$$\bar{x}_j = \frac{1}{10} \sum_{t=2017}^{2026} x_{j,t}$$
$$s_j = \sqrt{\frac{1}{9} \sum_{t=2017}^{2026} (x_{j,t} - \bar{x}_j)^2}$$
$$CV_j = \frac{s_j}{\bar{x}_j}$$

Largest swings in dollars. Insurance and reserve funding dominate; no other line comes within a quarter of them. Staffing lines fill most of the remaining places.

Dollar volatility, 2017–2026



Sample standard deviation of each line across the ten budgets. Staff = Property Manager, Admin Asst., Maint. Supervisor, Gen'l Salary and Maintenance Service combined

Budget packages 2017–2026, line items

Largest swings relative to size. Lines present in all or nearly all ten budgets, ranked by CV:

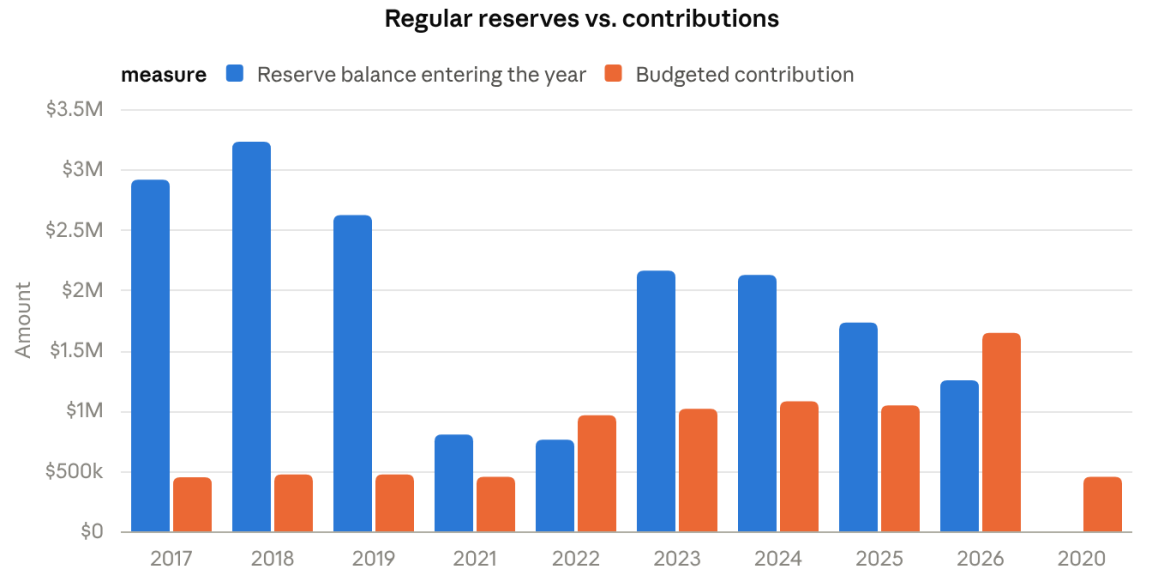
Line	2017	2019	2021	2022	2023	2024	2025	2026	CV
Bonus	1,200	1,200	1,200	1,200	10,000	10,000	20,000	30,000	1.30
Professional Fees	0	4,000	2,000	2,000	8,000	42,000	40,000	50,000	1.26
Legal Fees – Litigation	4,000	3,000	3,000	3,000	50,000	50,000	50,000	40,000	1.10
Water Treatment	6,204	7,000	7,600	7,700	8,270	39,078	50,000	40,000	0.97
Multiperil Insurance	622,500	560,000	695,000	793,562	1,981,221	2,137,882	2,400,000	1,721,446	0.62
Landscaping	36,000	46,000	60,000	60,000	25,000	20,000	25,000	21,000	0.48
Reserve Transfers (regular)	438,120	451,272	451,272	962,225	1,014,291	1,044,720	1,044,720	572,514	0.42
Contingency	37,824	40,000	50,000	50,000	25,000	25,000	25,000	70,000	0.35

What the ten-year view adds:

- **Bonus, Professional Fees, Litigation and Water Treatment were flat for six or seven years** and then multiplied in 2023–2024. None of the packages explains why.
- **Several lines disappeared in 2023** when insurance jumped: Holiday Gifts (\$34,000), Social Classes (\$23,000), Beverages (\$22,000), Bad Debts (\$20,000) and Recycling (\$23,000).
- **Some swings are relabeling, not real change.** Property Manager, Administrative Assistant and Maintenance Supervisor became "Gen'l Salary Service" and "Maintenance Service" in 2020, and "Security Services" became "Operations Staff Svc" in 2023. They are combined here. The combined on-site staff group still grew from \$362k to \$606k, including +19% in 2026.

- **Lines that exist in only a few years** (the 2026 SIRS reserve transfer of \$1,072,116 and the 2020–2021 special-projects management fee) are not ranked, because a standard deviation over mostly empty years is not meaningful.

Reserves over time



Balance = projected prior-year-end balance printed in each package; the 2020 package has no reserve worksheet. 2026 contribution includes \$1,072,116 for the new SIRS reserve

Pooled reserve worksheets in the 2017–2026 budget packages

The funding ratio is the reserve balance R divided by the replacement cost C of all components in the reserve worksheet:

$$F_t = \frac{R_t}{C_t}$$

Period	Replacement cost in worksheet (\$)	Funding ratio	Annual contribution (\$)
2017–2019	2,165,883	121–149%	about 450,000
2021	2,165,883	37%	451,272
2022	21,970,447	3.5%	962,225
2023–2026	22,846,071	9.5% falling to 5.5%	about 1,040,000 (regular: 572,514 in 2026)

The ten-year story of the reserves has four stages:

1. **2017–2019: reserves look over-funded.** The balance is \$2.6M to \$3.2M against a worksheet that values everything at \$2.2M (elevators \$233,024, roof \$110,620). Fees are frozen with surplus money.
2. **2018–2020: the balance is spent down.** About \$3.8M is spent while the contribution stays near \$450,000. The balance falls to \$0.8M.
3. **2022: the reserve study is redone.** Replacement cost rises tenfold to \$22M (elevators \$3,992,061, roof \$4,018,048). The contribution doubles and the balance recovers to \$2.16M by the end of 2022, more than the budgeted contribution alone explains, which points to special-assessment money.
4. **2023–2026: the balance falls again.** Spending from reserves rises from about \$1.05M to \$1.52M a year, above the contribution. In 2026 the regular contribution is cut to \$572,514 and a separate SIRS reserve starts from \$0. The \$22,846,071 estimate has not changed since 2023.

The 2018 worksheet is marked "draft version" and its scan is faint, so its balance should be confirmed against the original.

Adjusting for inflation

Each budget is adopted in the December before its year, so each year is deflated with the U.S. CPI-U for that December, with December 2016 (the 2017 budget) as the base:

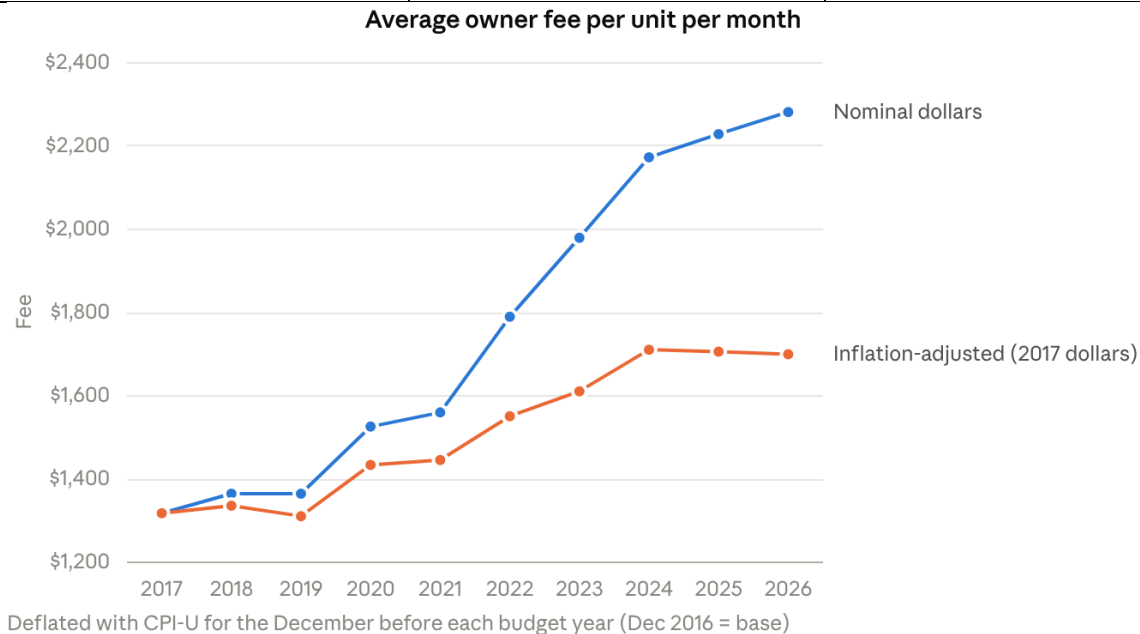
$$x_t^{\text{real}} = \frac{x_t}{D_t}, \quad D_t = \frac{\text{CPI}_{\text{Dec}(t-1)}}{\text{CPI}_{\text{Dec}2016}}$$

$$g^{\text{real}} = \frac{1 + g^{\text{nominal}}}{1 + \pi} - 1$$

The CPI rose from 241.432 (December 2016) to 324.054 (December 2025), so cumulative inflation across the ten budgets is $\pi = 34.2\%$. Most of it came late: 7.9% between the 2017 and 2021 budgets, and 24.4% between the 2021 and 2026 budgets.

2017 → 2026 change	Nominal	Real
Total budget	+78.6%	+33.1%
Owner fees	+73.2%	+29.0%
Reserve transfers	+267.0%	+173.4%
Insurance	+176.5%	+106.0%
Repairs & special projects	+66.6%	+24.1%
Contracts (staff & services)	+37.4%	+2.4%
Operating costs (excl. insurance and reserves)	+32.7%	−1.1%

2017 → 2026 change	Nominal	Real
Administrative	+28.1%	-4.6%
Utilities	+3.1%	-23.2%



Budget packages 2017–2026; BLS CPI-U, U.S. city average

What the adjustment shows:

- **About 44% of the ten-year budget increase is general inflation.** Of the \$3.33M increase, roughly \$1.45M is what the 2017 budget would have gained by simply keeping pace with prices. The other \$1.88M is real growth, and it is almost entirely insurance and reserves.
- **Operating costs are flat in real terms.** Contracts, administration, utilities and repairs together are about 1% lower than in 2017 after inflation.
- **Insurance doubled in real terms** and reserve funding nearly tripled. Inflation does not explain either.
- **Real fees per unit have been flat since 2024**, at about \$1,700 a month in 2017 dollars, because the 2025 and 2026 increases (2.6% and 2.4%) were slightly below inflation and the gap was covered with one-time money.

The adjustment uses the national CPI. A Miami-area index, or insurance- and construction-specific indexes, would give somewhat different figures.

What this means and questions for the board

Seen over ten years, the budget's problems are less about day-to-day spending, which has only kept pace with inflation, and more about three recurring choices: reserves were funded against an estimate that was ten times too low, one-time money was used repeatedly to postpone fee increases, and the postponed increases then arrived in large jumps. The insurance shock of 2023 landed on a building that had already spent most of its reserves.

Questions owners can ask:

1. Will the 2027 budget again rely on one-time money? If not, what fee increase replaces the \$500,000 used in 2026?
2. What was spent from reserves in 2018–2020 (about \$3.8M) and in 2023–2025 (about \$4.0M), and on which components?
3. Why did the reserve worksheet use a \$2.2M replacement cost until 2021, and why has the \$22.8M figure not been updated since 2023?
4. What is the plan and funding for the elevators, now shown with 2 years of remaining life?
5. What do Bonus, Professional Fees and Water Treatment pay for, and why did each multiply in 2023–2024?
6. What is the litigation budgeted at \$40,000–\$50,000 a year since 2023?
7. Why did on-site staff costs rise 19% and valet 36% in the 2026 budget?

This report combines the two earlier reports (2017–2021 and 2022–2026). The line-by-line data for all ten years is available as a spreadsheet on request.

Consumer Price Index for All Urban Consumers (CPI-U) from 2017 to 2026:

Annual		Percent Change	
Year	Dec	Dec-Dec	Cumulative
2016	241.432	2.1%	2.1%
2017	246.524	2.1%	4.2%
2018	251.233	1.9%	6.1%
2019	256.974	2.3%	8.4%
2020	260.474	1.4%	9.8%
2021	278.802	7.0%	16.8%
2022	296.797	6.5%	23.3%
2023	306.746	3.4%	26.6%
2024	315.605	2.9%	29.5%
2025	324.054	2.7%	32.2%
2026			

